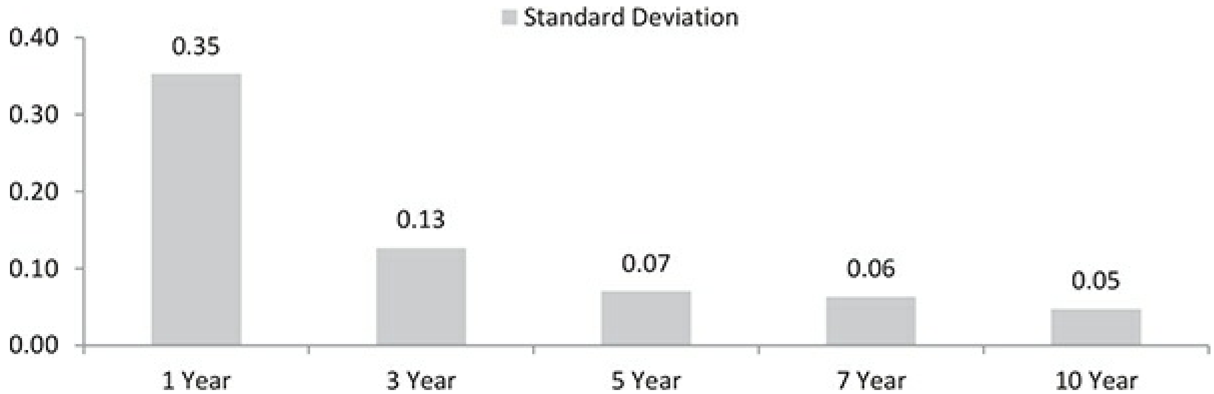
Exhibit 62: The volatility associated with Coffee Can Portfolios reduces as the holding period lengthens



Source: Bloomberg, Ambit Capital
Note: Period under consideration is July 2000–June 2017. The investment horizons are calculated on a weekly rolling basis. For instance, the standard deviation of one-year return is the standard deviation of returns generated by considering 6008 one-year periods (for all the CCP iterations) including 01/07/2000 to 01/07/2001, 08/07/2000 to 08/07/2001 and so on.

To appreciate the power of this, we have created another exhibit which shows how the risk-return trade-off changes with time. This time, in addition to showing the returns from the Sensex and the ten-year government bond, we have also shown the returns from the Coffee Can Portfolio on this chart.